Finovate

Redefining the banking experience

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Executive Summary

SITUATION ANALYSIS

AI transformation by Big 5 Canadian Banks

Intensified market competition with 300+ active firms

Consumers switching for better banking experiences

KEY QUESTION

How can Finovate implement AI strategies, thereby grow its customer base by 20% over the next 2 years and improve 15% in operational efficiency over the next 2 years?

RECOMMENDATION

Vendor Partnership & Credit Card

IMPACT

CUSTOMER BASE **+20%** | CHURN RATE **-25%** | ROI **+230%**

Situational Analysis - Internal Factors Evaluation (IFE matrix)

Well-positioned with digital agility, but need to improve limited scalability and slow efficiency

Strength (=1.7/2.0)

Factor	Description	Weight	Rating	Weighted Score
Digital-first operating model (no physical branches)	Low overhead and scalability compared to incumbents; faster adaptation to new technologies.	0.10	4	0.4
Young, tech-savvy customer base (1.2M active users)	Core Gen Z and millennial audience open to AI-enabled personalization and automation.	0.10	4	0.4
Strong brand as modern and agile challenger	builds trust among digital users seeking alternatives to traditional banks	0.13	3	0.39
Leadership commitment to AI transformation	Strategic alignment between CEO/CTO ensures organizational buy-in.	0.07	3	0.21
Fast digital onboarding	Seamless customer acquisition strengthens competitive positioning	0.10	3	0.3

Weakness (=0.9/2.0)

Factor	Description	Weight	Rating	Weighted Score
Slow loan approval	Far behind AI-enabled competitors (1–2 days). Directly impacts customer satisfaction	0.1	1	0.1
High churn rate	Indicates weak loyalty and limited retention strategies	0.1	2	0.2
Limited AI infrastructure / fragmented data systems	Inconsistent data integration restricts real-time personalization.	0.1	2	0.2
Underdeveloped cross-selling & personalization capabilities	Low product penetration compared to AI-driven competitors	0.1	2	0.2
Shortage of in-house AI/ML expertise and reskilling programs	Slows implementation and weakens long-term scalability	0.1	2	0.2

Total = 2.6/4.0

Strategically well-positioned (strong brand, right audience, digital agility) but **not yet operationally optimized** for AI-driven performance. Need to improve particularly in loan automation, AI infrastructure, and data integration — **limit scalability** and **slow efficiency gains**.

Finovate must leverage its strengths to stay competitive amongst young customers

Strengths of Finovate

- Digital-first operating model allows lower fixed costs and rapid scalability
- 1.2M active, tech-savvy users open to AI-based services
- Healthy financial position
  (CAD 450M revenue; 15M AI budget for innovation)

Weakness of Finovate

9%
annual churn rate signals weak retention

7 days *up to*
loan approval process

Limited AI infrastructure
slows execution and capability growth

Opportunities for market share expansion with young customer base and AI agility

Opportunities of Finovate

- Rising AI adoption in fintech for risk, fraud, and CX optimization segments
- Open banking frameworks enable vendor partnerships and data-driven product design
- Demand for personalized financial advisory among young customers

Threats of Finovate

CAD 10-20B annually invested
in AI transformation by Big 5 banks

300+ active firms
intensifying market competition in banking

58%
consumers switching for better banking experiences

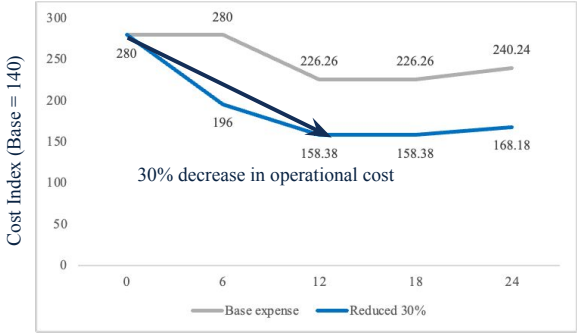
Recommendation - AI Vendor Partnership

Outsource *Llama* and *Oscilar* to leverage operational efficiency

Llama 3.1

Core technicalities

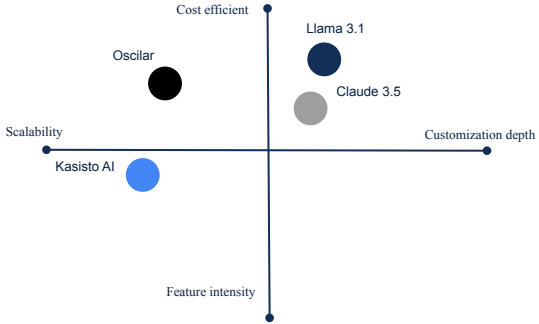
Real-time inference
Supervised fine-tuning
Evaluation of customized application
Continual pre-training
Retrieval-Augmented Generation (RAG)
Synthetic data generation



30% reduction in 12 months

OSCILAR

Fraud prevention
Credit risk management
Compliance automation
Testing and validation



Qualitative Analysis (Research)

AI Vendor Partnership brings 3 different changes:

Loan Approval

Case studies:

- **30–40%** faster underwriting time (**Parker case – Oscilar**).
- **70%** reduction in underwriting backlog (**Oscilar, Parker**).
- **20–60%** increase in analyst productivity (**McKinsey**).

*7 days → **2** days*

Support Response

Case studies:

- AI reduces customer service costs by up to **30%** (**McKinsey 2024**).
- Customer resolution time improves by **70–80%** (**OCBC, DNB case analogs**).

24 hours → 3 hours

Fraud Detection

Case studies:

- Manual review time ↓ **75%** (**Oscilar case**).
- False positives ↓ **50%**, accuracy ↑ **to 97–98%**.
- Operational cost ↓ **70%** (**CashCo with Oscilar**).

92% → 97%

Source: Oscilar Case Reports 2025, OCBC official press release 2023, McKinsey Banking AI Report 2023

Potential Risks and Mitigation Strategies

Potential Risk

1. **Bank Act & Financial Consumer Protection Framework (FCAC)**
   → Must maintain transparency and fairness in AI-driven decisions.

2. **PIPEDA (Privacy Law)**
   → Oscilar is a non-Canadian vendor, there is a risk of cross-border data exposure

3. **OSFI Guideline E-23 (Model Risk Management)**
   → Require ongoing validation and oversight

Potential Risks and Mitigation Strategies

Solutions

1. **Conduct regular audits** to ensure **transparency** and **fairness** in all AI-driven financial decisions.

2. **Implement data residency controls** and **strict human integration** for sensitive credit decisions to **prevent cross-border data risks.**

3. **Establish a Program Management Team** to oversee AI operations, with a Program Director reporting monthly to the CEO and Risk Committee for continuous **validation** and **oversight**

Timeline of *Llama* and *Oscilar*

Monthly Timeline	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
Llama 3.1 70B								
P1: Integration & Initial training	■	■						
P2: Fine-tune & Multilingual support		■	■	■				
P3: CRM & RAG module integration					■	■		
P4: Internal feedback logs							■	■
Oscilar								
P1: Integration & Initial training	■	■						
P2: Fraud-signal			■	■	■			
P3: Automated risk-scoring				■	■	■		
P4: Compliance monitoring						■	■	■

Real-time inference & Scalability
Reduces manual support hours by 30% in 6 months

Quick implementation
"Implementation in a new fintech venture in 3 days…"

Recommendation - AI Adaptive Rewards Credit Card

A New Credit Card that Learns Your Fifestyle

"A card that learns your habits, rewards your lifestyle and protects your data"

AI Adaptive Rewards Credit Card brings 3 different changes:

AI-Driven Personalization

AI analyzes each customer's monthly spending and automatically allocates reward categories to keep perks always relevant.

Smart Financing

Uses transaction data to forecast next month's cash flow and recommend payment timing to reduce delinquencies and improve credit quality.

Transparency & Control

Creating an AI-generated summary and explainable perk adjustment for each individual, ensuring FCAC, OSFI E-23, and PIPEDA rules.

Why target the credit card?

Case Study: RBC

20% increase in retention

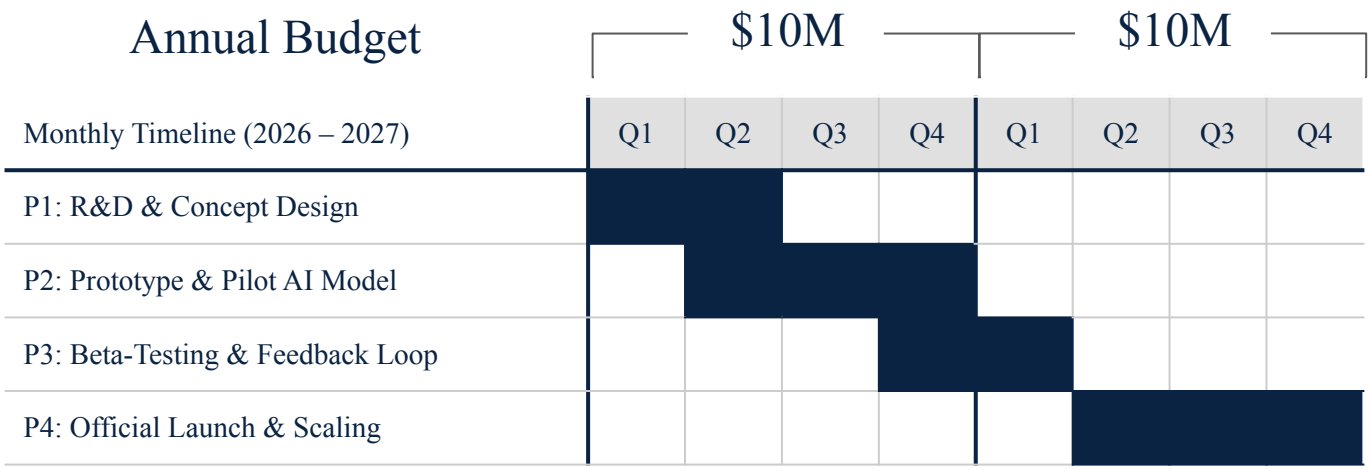
After deploying real-time AI models to target offers

Source: McKinsey Banking AI Report 2023

Implementation - AI Adaptive Rewards Credit Card

Timeline, Risk & Compliance Management

Annual Budget



Short-term goal:
Validate profitability, regulation, data infrastructure

Long-term goal:
Scale to optimize rewards, increase customer base

Risk	Data Privacy & Regulatory Compliance	Model Risk Management	Payment Card Network Rules
Mitigation	Conduct quarterly privacy audits and AI model validations. Develop AI program internally to prevent customer data breach.	Align with OSFI B-13 cybersecurity guidance. Create a team for AI credit card oversight	Set the interchange fees on merchants to 1.7% based on the nationwide standards.

Customer Churn Rate Decrease

Total Customers:

1.2 million → 1.44 million

(+20% by 2026).

Churn Rate:

9.0% → 6.8%

(-25% by 2026).

Reasoning

- **AI Adaptive Rewards Credit Card** improved engagement and retention by tailoring rewards and fees to spending patterns: ↓ 15 % churn
- **Llama AI Chatbot** enhanced 24/7 customer service: ↓ 10 % churn

Capital Spending on AI Development Will Help Finovate Gain Desired Customer Base

Finovate Bank
Projected Income Statement
[CAD $ millions]

	2024 (Current)	2025 (Projected)	2026 (Projected)
Interest Income			7.80
Interchange Fees			40.40
Annual Fees & Co-brand Revenue			19.40
Other Banking Revenue	450.0	454.50	459.05
Total Net Revenue	**450.0**	**454.50**	**526.65**
Expenses			
Selling, General, & Administrative (SG&A) + CAC	196.0	220.00	155.00
Depreciation & Amortization	22.4	23.00	23.50
Interest Expense	61.6	65.00	70.00
AI Credit Card Research & Development (R&D)		10.00	5.00
AI Credit Card Rewards and Cashback Costs			23.80
Llama AI Implementation Costs		0.12	0.10
Llama AI Customer Service Operations Costs		1.50	2.50
Oscilar AI Implementation Costs		0.14	0.14
Regulatory & Compliance Oversight Costs		1.00	2.00
Total Expenses	**280.0**	**319.76**	**280.04**
Earnings Before Taxes	**170.0**	**134.74**	**246.61**
Income Taxes (25%)	42.5	33.69	61.65
Net Earnings	**127.5**	**101.06**	**184.95**

Impacts

Growth: Revenue +17%, Profit +44% in two years.

Sustainability: SG&A down 30%, equivalent to $65M annual savings.

ROI on AI = 260%
(≈ $76M net return on $30M investment).

Net Profit Margin
28.3% (2024) to 35.1% (2026).

Appendix

2024

- Finovate operates with 1.2M customers and a 9% annual churn rate.
- Revenue: CAD 450 million. Operating Costs: CAD 280 million
- Expense breakdown aligned with typical Canadian mid-sized banks (≈70% SG&A, 8% D&A, 22% interest).

2025

- Expense Increase: SG&A rises 12% due to training, marketing, and onboarding costs for AI rollout.
- Efficiency Onset: Early-stage automation begins from Llama chatbot (~10% of customer service costs realized).

2026

- Finovate operates with 1.44M customers and a 6.8% annual churn rate.
- AI Credit Card Launch: Nationwide rollout to ~30% of users (≈432K customers) generating new interchange, fee, and interest income streams.
- Interchange Fees ($22M): 1.7% fee paid by merchants on card transactions. Based on ~432,000 users with average annual spend of $5,500 each.
- Interest Income (≈ $3M) Earned from 3% of users who carry balances or delay payments (Equifax).
- Annual Fees (≈ $17.5M): AI dynamically adjusts annual fees ($0–$700) based on each customer's usage and spending profile.
- Includes partnership revenue from co-branded perks (e.g., travel, food, streaming).
- Rewards & Cashback (≈ $20M)
- 1% average reward rate, fully funded from interchange and fee revenue (not part of AI investment cap).
- Operational Efficiency: Full implementation of Llama and Oscilar delivers ~30% total SG&A reduction (McKinsey).
- Profitability Recovery: Major expense efficiencies and new card revenue raise net profit margin above 33%.
- Rewards and cashback costs are funded from card revenues.

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THANK YOU
ROGERS CENTRE

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Implementation - AI Vendor Partnership

Timeline & Risk & Compliance Management

	Phase 1	Phase 2	Phase 3	Phase 4
	0-6 months	0-6 months	0-6 months	0-6 months
Llama 3.1	Integration, Training, Fine-tune FAQs	Training, Multilingual support	Training, Deploy RAG module	Training, Internal feedback logs
Oscilar	Integration, Training, Fine-tune FAQs	Training, Fraud-signal	Training, Automated risk-scoring	Training, Compliance monitoring
AI Governance	Internal AI Compliance committee	Audit trail structure, Compliance dashboard	Explinability module, Align with OSFI E-23	AI Center of Excellence, Annual AI Governance report

Situational Analysis	New Credit Card	Operational Efficiency	Impact

Implementation - AI Vendor Partnership

Timeline & Risk & Compliance Management

Timeline

ST & LT Goals

Risk	Data Privacy & Security	Regulatory & Compliance Oversight	Cybersecurity & Integration Vulnerabilities
Mitigation	Store data in Canada and apply encryption with strict access control.	Keep a human-in-the-loop for final high-risk credit decisions.	Align with OSFI B-13 cybersecurity guidance

Recommendation - AI Vendor Partnership

Outsource the AI chatbot from *Llama* to leverage operational efficiency